

EG Germany: Reform deal significantly reduces odds of government breakdown

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Germany

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Reform deal significantly reduces odds of government breakdown

Short-term trajectory:

Long-term trajectory:

* The coalition's compromise on pensions, taxes, and deregulation creates new staying power for Chancellor Friedrich Merz's government, with the probability of premature collapse now at 20% (down from 40%).

* In terms of growth, the deal's impact will be limited, but the pension provisions constitute meaningful structural reform and will stabilize public finances in the medium to long term.

* The key government stability signposts over the next six months are the three state elections in the fall and the parliamentary vote on Germany's next head of state in January, both of which will require skillful coalition handling by Merz.

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The compromise on a 34-point reform package on 1 July stabilizes Merz's coalition. The risk of a government collapse before the end of 2026 is now 20% (down from 40%), and the coalition's overall staying power until the end of its regular term in 2029 has improved significantly. Pre-summer break fears of rapid government decline turned out to be premature, though the risk of a negative downward spiral dynamic between the coalition partners was real. These fears are now largely alleviated.

Pension reform breakthrough is substantively and politically meaningful. It is also the compromise's only genuine structural reform element and will likely stabilize the finances of the notoriously underfunded public pension system in the medium to long term. The deal will also improve trust between the two coalition partners, whose ideological leanings on most key issues diverge strongly. It is particularly notable that this compromise became possible after Merz's coalition partner, the Social Democratic Party (SPD), gave up its long-held opposition to introducing a capital-funded retirement component into Germany's pay-as-you-go system.

Still, the overall impact on Germany's ailing economy will likely be limited. Its provisions on taxes, deregulation, and sick leave policy are useful but do not constitute structural reform. The agreed overall income tax relief of about €10 billion by 2028 will likely be eaten up by bracket creep, substantially diminishing its impact. The more far-reaching tax reform Merz's Christian Democrats (CDU/CSU) want was unachievable in this round. Eurasia Group expects these topics, especially tax reform, to resurface during this parliamentary term, likely as early as next year.

Legal and political factors reinforce government stability over the next six months. Among these are the constitutional provisions regulating government formation that make dissolving parliament and calling new elections comparatively more difficult in Germany than in other parliamentary systems. In addition, both the CDU/CSU and SPD have little incentive to call new elections given their very low poll numbers. The SPD's current 11%-13% would relegate the party to fourth place in parliament, its weakest position in history. The CDU/CSU's 22% puts it well below the far-right Alternative for Germany (AfD), meaning that even if it decided to cooperate with the AfD (an option Merz has firmly ruled out), it could only hope to be a junior partner in such a constellation. This gives the CDU/CSU a further stake in keeping the current coalition afloat.

Internal CDU/CSU discontent with Merz is now the biggest risk to government stability. While Merz was never popular with the more liberal-leaning wing of the party associated with former chancellor Angela Merkel, it is now the more conservative groupings who are unhappy about broken election promises and excessive leniency toward the SPD. Merz also faces scrutiny for his freewheeling, ad-lib style of communication, which has repeatedly alienated friend and foe alike.

The unprofessional handling of personnel issues, including a recent half-botched cabinet reshuffle, has added to existing concerns that Merz might be unsuitable for the job. This sentiment is supported by record-low approval ratings for Merz personally (13%), his party (22%), and the government he leads (13%). An anti-Merz mutiny within the CDU/CSU is unlikely at this point, but as the next scheduled election in early 2029 approaches, the debate over Merz as the right candidate for another run will grow louder.

State elections in the fall and January vote on federal president will be key signposts. Three state elections will be held in Saxony-Anhalt on 6 September, and in Berlin and Mecklenburg-Western Pomerania on 20 September. Strong gains by the AfD in all three contests have been largely priced in by now. But government formation, especially in Saxony-Anhalt, could prove to be a serious stress test for the CDU/CSU, for whom the "firewall" of noncooperation with the AfD is a key credibility issue.

Merz's leadership skills will also be tested in January, when a special session of federal and state parliamentarians will select a new German head of state (federal president). In the run-up to the vote, it will be up to Merz to build a cross-partisan majority and orchestrate the victory of a carefully preselected compromise candidate.

EG Europe

europe@eurasiagroup.net

Jan Techau

Director, Europe

Techau.ne@eurasiagroup.net

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